

investment to double to \$10,000.

What else can the rule of 72 do?

There are some other ways that the rule of 72 can come in handy. For instance:

- **It can be used to determine the value of the dollar based on inflation.** On a less happy note, the rule of 72 can be used to calculate how long it will take for your money to lose half its value due to inflation. If we divide 72 by today's average inflation rate in the United States of 2% (so, $72/2$), assuming the inflation rate remains consistent, the dollar will lose half its value in about 36 years. If the inflation rate goes up to 3% and remains consistent, the dollar will lose half its value in about 24 years.
- **It can be used to determine interest payments associated to debt.** The rule of 72 can also tell you when the amount you owe in credit card debt will double based on the interest rate you are paying to a creditor. Let's say you have credit card debt at an interest rate of 18%. Dividing 72 by 18 tells us your credit card balance will double in 4 years (This is a basic illustration).

Why does the rule of 72 matter to you as an investor?

As an investor, the rule of 72 is good to keep in mind because it can help you get a sense of how long it will take for your money to grow (or double) in order for you to meet a financial goal or objective that's tied to a specific timeline. Knowing how long it could take can help you fine-tune your savings and investment strategies in order to achieve your financial goals.

COMPOUND INTEREST, THE RULE OF 72, AND DEBT

Before we move forward, it's important to understand the implications of compounding and debt. So far, we've talked about how compounding can be an incredible ally when it comes to wealth building. However, when it comes to debt, it can literally be your *worst enemy*. Like, the *worst*. Let's go